

on American finance in the 1940s, 1950s or 1960s. What the creditors of those years knew is that heavy borrowing was a technique favored by people like Charles E. Mitchell, chairman of National City Bank, who wound up explaining themselves before congressional investigating committees.

Milken didn't know that, or wisely ignored it if he did. As he was entering business in the early 1970s, a generation of Depression-scarred lenders was exiting. Their mental baggage—the trauma of the 1930s debt liquidation—was not his, and he rediscovered the forbidden fruit of extreme financial leverage.

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*The 1980s are to debt what the 1960s were to sex.*

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What he knew about debt is that it magnifies financial results. It hefts prosperity up by its bootstraps and makes it something larger than it would otherwise be. It facilitates the sale of houses, cars and businesses to buyers who otherwise couldn't afford them. It nullifies the old idea, propounded by John Kenneth Galbraith, that entrenched corporate managements may safely live the life of Riley behind a wall of equity. It produces stupendous fees and underwriting commissions for investment bankers.

In Milken's case, it produced one of the greatest fortunes in Wall Street history. It simultaneously smiled on the decade's big debtors, including such Four Hundred members as Nelson Peltz (of Triangle Industries fame), cellular mogul Craig McCaw and leveraged buyout guy Henry Kravis.

What Milken may not have reckoned with is that success breeds success. Good ideas become bad ideas through a competitive process of "Can you top this?" So completely have the old antidebt prejudices been erased that extraordi-